

The empirical results presented are gross, and no fees are included. The S&P 500 returns are total returns and include the reinvestment of distributions (e.g., dividends), but for the NKY and DAX we only use the price-based indices (the total return indices have much shorter histories, so we rely on the price-only indices for this analysis).

SPX – US Stocks

ROBUST, TMOM, and MA work well for SPX data from January 1928 to December 1975, ROBUST and MA are virtually tied: Their Sharpe ratios are equivalent and the MA Sortino ratio is .43 versus .42 (see Table 7.9).

Table 7.9 SPX Performance Across Systems (1/1928 to 12/1975)

	SPX B&H	SPX ROBUST	SPX TMOM	SPX MA
CAGR	8.04%	8.57%	8.23%	8.78%
Standard Deviation	21.94%	12.61%	13.01%	13.13%
Downside Deviation	16.14%	10.14%	10.46%	10.66%
Sharpe Ratio	0.36	0.54	0.50	0.54
Sortino Ratio (MAR = 5%)	0.32	0.40	0.36	0.41
Worst Drawdown	−84.59%	−49.95%	−53.42%	−48.65%
Worst Month Return	−28.73%	−23.13%	−23.13%	−23.13%
Best Month Return	41.65%	17.56%	17.56%	17.56%
Profitable Months	60.76%	73.44%	76.04%	75.35%

NKY – Japanese Stocks

Investing in the Japanese stock market has been tough for the buy-and-hold investor—offering a 5.06 percent compounded annual return coupled with a greater than 80 percent drawdown. It is important to note that if we had data on the total return performance, which is unavailable, it would look slightly better. Of course, the risk-managed versions of the price-only NKY index are not much better, with compound annual returns in the 6 percent range and drawdowns between 40 and 50 percent. Nonetheless, the risk-managed